

CHIEF INVESTMENT OFFICE

# Capital Market Outlook

September 8, 2026

All data, projections and opinions are as of the date of this report and subject to change.

## IN THIS ISSUE

### Macro Strategy—Commodities: From Inflation Hedge to Structural Growth Asset:

The investment case for commodities is shifting from a narrow, tactical role as an inflation hedge toward a broader, potentially strategic portfolio allocation. In addition to offering differentiated return behavior when stock and bond correlations rise, commodities can provide exposure to structural growth drivers including Artificial Intelligence (AI) infrastructure, electrification, energy security, reshoring, and supply-chain investment.

Because the supply of many critical materials is slow to respond and geographically concentrated, these demand trends may create persistent scarcity and pricing power, although cyclical volatility remains an important consideration.

**Market View—Rising Global Interest Rates and International Markets:** Strong earnings growth has so far delivered a fourth consecutive year of double-digit gains for global Equity indexes in 2026, propelling them to new all-time highs. But a growing risk throughout the year has been the increase in government bond yields, which have also broken out to multidecade highs across a number of the major markets.

The U.S. Treasury will this week begin its expanded Treasury securities buyback program announced in mid-August in response to rising rates. But 10-year yields across all the major G10 countries have moved higher, in many cases by as much as or more than in the U.S. market.

**Thought of the Week—The One-Offs Inflating Q2 Earnings:** Second quarter corporate earnings results were boosted by one-offs, including mark-to-market gains on private investments and refunds following the tariff ruling. Yet even beyond these one-off factors, the Q2 underlying picture remains healthy: Companies have demonstrated an ability to grow revenues and maintain historically high margins in aggregate, as 10 of 11 sectors posted earnings growth.

That's a challenging setup for earnings next year. But for now, strong fundamentals and broad-based earnings participation continue to provide support for Equities, helping offset concerns of rising yields.

## AUTHORS

**Anna Snider**

Managing Director and Head of Due Diligence

**Ehiwario Efeyini**

Director and Senior Investment Strategist

**Lauren Sanfilippo**

Director and Senior Investment Strategist

**MACRO STRATEGY ►**

**MARKET VIEW ►**

**THOUGHT OF THE WEEK ►**

**MARKETS IN REVIEW ►**

## Portfolio Considerations

Despite ongoing market concerns around rates, valuations, and geopolitics, we remain constructive on risk assets, citing improving manufacturing activity, accelerating AI investment, resilient consumers, rising earnings, and ample liquidity as support for continued economic expansion.

Accordingly, we maintain our overweight to U.S. Equities, favoring diversification with meaningful bond allocations, and views market volatility as a potential opportunity to rebalance and add risk selectively.

As market leadership broadens, this month we are increasing exposure to Industrials, Financials and Healthcare while funding those moves by reducing Consumer Discretionary, Consumer Staples and Utilities.

Merrill Lynch, Pierce, Fenner & Smith Incorporated (also referred to as "MLPF&S" or "Merrill") makes available certain investment products sponsored, managed, distributed or provided by companies that are affiliates of Bank of America Corporation ("BofA Corp."). MLPF&S is a registered broker-dealer, registered investment adviser, Member [SIPC](#) and a wholly owned subsidiary of BofA Corp.  
Investment products:

|                             |                                |                       |
|-----------------------------|--------------------------------|-----------------------|
| <b>Are Not FDIC Insured</b> | <b>Are Not Bank Guaranteed</b> | <b>May Lose Value</b> |
|-----------------------------|--------------------------------|-----------------------|

Please see last page for important disclosure information.

9109127 9/2026

## Commodities: From Inflation Hedge to Structural Growth Asset

*Anna Snider, Managing Director and Head of Investment Manager Selection  
(Due Diligence)*

**A broader role in portfolios:** For decades, commodities occupied a relatively narrow role in portfolios: protection against inflation when rising prices eroded the value of traditional assets. That function remains important, but the investment case is broadening. Commodities now sit at the intersection of geopolitical fragmentation, supply-chain security, reshoring, inventory rebuilding, and the buildout of AI and digital infrastructure. Together, these forces are turning parts of the asset class from purely cyclical exposures into potential long-term growth beneficiaries.

The diversification case is also becoming more relevant. In Q1, when inflation concerns peaked, the Bloomberg Commodity Index returned close to 25%, outperforming both Equities and Fixed Income. At the same time, the relationship among major asset classes has shifted. Equity and Fixed Income correlations have tightened in recent years, while commodities have moved in the opposite direction: over the trailing five years, their correlation with both Equities and bonds has been negative. That combination of inflation sensitivity and differentiated return behavior can make commodities useful beyond a simple tactical hedge.

**AI infrastructure is a physical buildout:** AI is often viewed through semiconductors, software platforms, and hyperscale data centers. Yet the infrastructure required to deploy AI is extraordinarily commodity intensive. It requires continuous electricity, generation capacity, transmission lines, substations, transformers, cooling systems, networking hardware and structural materials. In that sense, AI is not only a computing revolution. It is also an energy, infrastructure, and critical-materials investment cycle.

Power is the first constraint. Data centers require reliable, around-the-clock electricity. Natural gas remains a practical source of incremental generation in the U.S., while nuclear power is emerging as a strategic long-term option for hyperscalers seeking stable baseload supply. Solar and wind can add capacity and support decarbonization goals, but grid reliability and storage become more important as power demand rises. That supports investment in batteries, backup power and grid-scale storage, with lithium and graphite among the relevant inputs.

The buildout also increases demand for industrial metals. Copper is a clear beneficiary because it is essential to transmission, transformers, cooling systems and data-center wiring. Aluminum and iron ore are used in facilities, electrical equipment, transmission networks and supporting infrastructure. Semiconductor fabrication adds another layer of demand through industrial gases such as helium and neon, high-purity quartz for wafers and optics, and gallium and germanium for advanced chips, photonics, and telecommunications. AI-enabled automation and robotics also depend on permanent magnets that use rare earth elements, including neodymium-praseodymium and dysprosium-terbium.

**Demand has moved faster than supply:** This demand surge resembles earlier cycles in semiconductors and memory, where expectations pulled spending forward. Metals and mining companies are already seeing earnings growth and margin expansion, yet the industry has struggled to keep pace with demand. The imbalance matters because commodity supply is slow to respond. Production of many strategic materials is geographically concentrated, permitting timelines are lengthy, recycling capacity is limited, and substitution can remain years from commercial viability. New mines and processing facilities can take a decade or more to reach production.

### Investment Implications

Commodities may increasingly serve three portfolio purposes: inflation protection, diversification from traditional assets, and participation in long-term infrastructure and resource-demand growth, supporting a diversified allocation across direct commodities and select producer Equities rather than a single directional trade.

Governments are also taking a larger role through industrial policy, export controls, stockpiling and efforts to secure critical supply chains. Restrictions involving gallium, germanium, graphite and other strategic materials underscore how geopolitics can affect availability and pricing. As a result, the current cycle may produce greater scarcity and pricing power than demand growth alone would suggest.

So far, this dynamic has been most visible in industrial metals, but the same forces could extend into agriculture. Reshoring changes where food and inputs are produced and processed, while inventory rebuilding can lift demand for fertilizer, fuel, machinery and storage. Agriculture has not yet experienced the same earnings and pricing impact as metals, but supply-chain resilience could make it a broader beneficiary over time.

**Cyclical forces still matter:** The structural thesis does not eliminate near-term volatility. Energy remains a key transmission mechanism for inflation because oil and natural gas underpin transportation, manufacturing and industrial production. Geopolitical disruptions can cascade through supply chains, raising costs and moving both commodity futures and spot prices. Currency dynamics matter as well. A stronger U.S. dollar can restrain commodity prices by increasing costs for non-U.S. buyers, while renewed dollar weakness could support emerging-market demand and reprice dollar-denominated assets.

A stabilization of geopolitical tensions could create a more constructive cyclical backdrop through lower energy volatility, improved business confidence and stronger capital investment. Conversely, renewed conflict can produce sharp and uneven moves across the complex. These crosscurrents reinforce the value of treating commodities as a diversified allocation rather than a single directional trade.

**Gold, implementation and the portfolio case:** Gold is fundamentally different from most industrial commodities, but it deserves attention. Its traditional relationships with interest rates and the dollar have been less reliable lately. Even so, sustained central bank and exchange-traded fund buying points to durable long-term demand despite bouts of volatility such as the selloff earlier this year. Gold also tended to move inversely with oil during the height of the Iran conflict, illustrating how different commodities can respond differently to the same geopolitical shock.

Investors can access the theme through commodity futures or producer Equities. Direct commodity exposure is generally the clearer vehicle for inflation protection, scarcity, and geopolitical supply shocks. Producer equities can offer greater upside when commodity prices rise faster than operating costs because earnings and margins expand, but that leverage is asymmetric. Company-specific execution, financing, cost and valuation risks can still cause Equities to underperform the underlying commodity. A blended approach may capture both physical scarcity and corporate operating leverage.

Ultimately, commodities remain sensitive to energy markets, currencies, growth, and geopolitics, but their portfolio role is expanding. They can provide inflation protection and diversification while offering exposure to AI infrastructure, electrification, energy security, defense modernization, reshoring and, potentially, agricultural supply-chain investment. The strongest beneficiaries of the AI trade may therefore extend well beyond technology companies to the materials and power systems that make deployment possible.

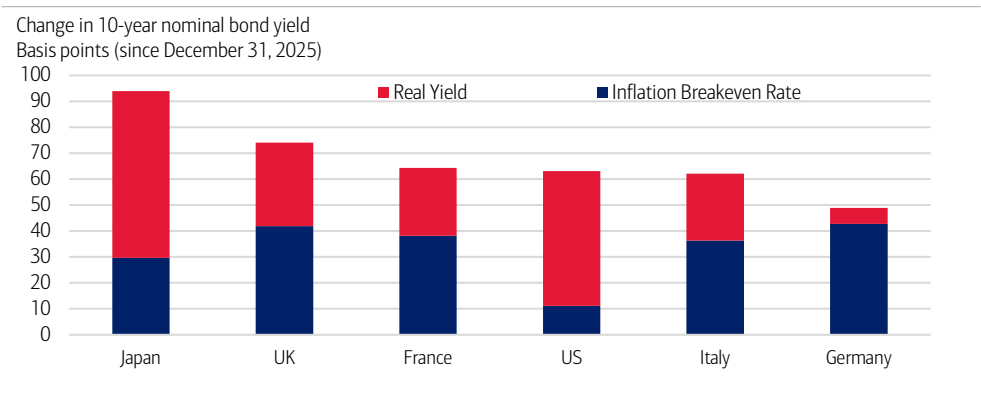
Rising Global Interest Rates and International Markets

Ehiwario Efeiyini, Director and Senior Investment Strategist

Strong earnings growth has so far delivered a fourth consecutive year of double-digit gains for global Equity indexes in 2026, propelling them to new all-time highs. But a growing risk throughout the year has been the increase in government bond yields, which have also broken out to multi-decade highs across a number of the major markets. The U.S. Treasury will this week begin its expanded Treasury securities buyback program announced in mid-August in response to rising rates. But 10-year yields across all the major G10 countries have moved higher, in many cases by as much as or more than in the U.S. market. Against a backdrop of above-trend growth in nominal gross domestic product (GDP), high energy prices and elevated inflation, investors appear to be reassessing monetary policy expectations, particularly in Europe where most of the 2026 increase in 10-year yields has been driven by inflation breakevens (Exhibit 1). Fixed Income markets are consequently looking for policy rate hikes from the European Central Bank later this week and potentially from the Bank of Japan later next month.

The rise in global interest rates has also come alongside an expansion in fiscal policy across the major markets. In Europe, 2026 and 2027 are expected to be the peak spending years for defense and infrastructure expenditure plans unveiled last year. The so-called Readiness 2030 package allocates €800 billion to increased European Union defense spending as it looks to move toward its 5% of GDP target by 2035. And at the same time, the German government relaxation of its national debt brake has directed €500 billion toward funding for investment in clean energy, transportation and digital infrastructure. Similarly in Japan, the government supermajority is looking to enact a new stimulus aimed at raising investment levels across 17 strategic sectors such as semiconductors, defense and shipbuilding, in addition to a planned two-year cut to the consumption tax on food from April 2027. And in the UK, the new central government leadership is also likely to announce new spending measures when its first national budget is released next month. To the extent that increased public investment spending can lift productivity and support nominal GDP growth in Europe and Japan, the rise in yields need not undermine economic growth or derail the equity market advance. But higher rates, especially in response to supply-driven energy price inflation, nonetheless remain a risk for developed market equity returns going into the end of the year.

Exhibit 1: Global Bond Yields in Major Markets have Risen by as Much or More than U.S. Yields in 2026.



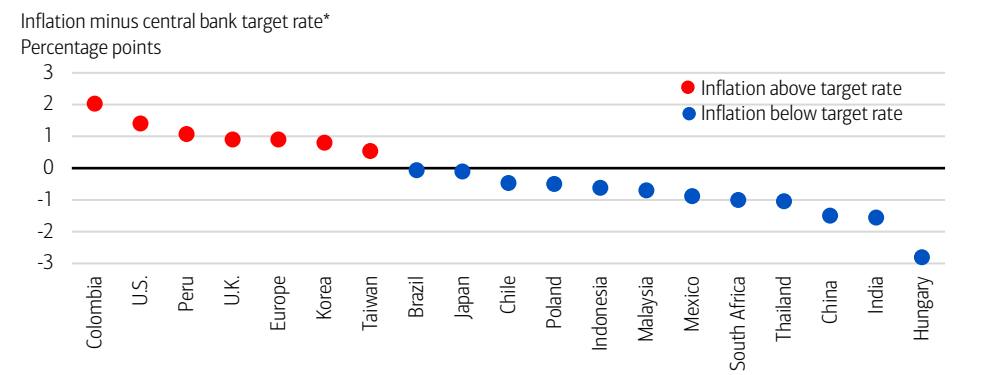
Source: Bloomberg. Data as of September 1, 2026..

For many emerging markets the picture looks quite different. In contrast with the U.S., Japan and Europe, inflation rates are generally well below central bank targets outside a limited number of resource exporters in Latin America and the booming AI-linked economies of Korea and Taiwan (Exhibit 2). As a result, policy rate expectations over the coming quarters are stable or lower for several emerging markets (including China, Malaysia, Thailand, Poland, Brazil and Mexico) according to Bloomberg consensus forecasts.

Investment Implications

Ongoing strength in economic growth and corporate earnings should support global equity markets even in the face of rising rates. For Emerging Markets (EM) Equities in particular, contained inflation, flat to lower local policy rate expectations and stronger fundamentals should limit the impact. And we continue to favor EM Equities over International Developed Markets, where inflation levels are generally still above target, central banks are expected to raise rates and investors will be watching for fiscal sustainability as governments implement expansionary budget plans.

Exhibit 2: Inflation a Greater Challenge for Central Banks in Developed Markets than EMs.



Source: Bloomberg. Data as of July 2026. \*Central bank inflation targets are the upper bound when set as a range.

Historically, rising U.S. interest rates have been a major headwind for emerging markets. But looking ahead in the current cycle, we still expect the impact of potential Federal Reserve (Fed) rate hikes to be lower than in the past. Over recent years, the association between tighter Fed policy and weaker EM returns appears to have diminished. EM Equities for example were resilient in the face of aggressive U.S. rate increases in 2022 and 2023, broadly keeping pace with the rest of the world. This is in sharp contrast to prior cycles in which tighter Fed policy has resulted in capital flight, deleveraging and falling asset values across the emerging world. Particularly during the crisis periods of the 1980s and 1990s—but also more recently during the 2015 taper tantrum—U.S. monetary tightening has tended to attract capital away from riskier emerging countries (particularly those with large current account deficits), reducing support for local asset prices and exchange rates.

Associated strength in the U.S. dollar has typically been an additional hurdle. For those emerging economies with fixed exchange rates, a loss of export competitiveness has further undermined current account positions, forcing central banks to run down their foreign exchange reserves. And where exchange rates are floating, foreign currency debts have risen in local currency terms, resulting in widespread defaults, debt downgrades, recessions and additional exchange rate depreciation.

But starting in the years that followed the 1997-1998 Asian financial crisis and continuing into the current cycle, the fundamentals across much of the EM universe have improved. Fixed exchange rates have been abandoned. EM foreign currency reserves have roughly doubled as a share of GDP. The share of EM debt denominated in U.S. dollars has fallen significantly, led by the private sector across households and corporates. And for most countries, current account deficits have narrowed or disappeared entirely. As a result, emerging markets have become much more insulated from the direction of U.S. interest rates on a structural basis, and this has only been reinforced by the AI-driven revaluation of key Asian markets in 2026. Greater concentration in Korea and Taiwan has increased the EM weighting in the surplus Asia-Pacific region to 83% as at the end of August—up from 81% at the start of the year and 71% a decade ago.

Above-trend growth in nominal GDP and ongoing strength in corporate earnings should support global equity markets even in the face of rising interest rates. But for emerging Equities in particular, contained inflation relative to central bank targets, flat to lower local policy rate expectations and stronger economic fundamentals should limit the impact from higher global rates. We continue to favor EM Equities over International Developed Markets, where inflation levels are generally still above target, central banks are expected to raise interest rates and investors will be watching for fiscal sustainability as governments implement expansionary budget plans.

## The One-Offs Inflating Q2 Earnings

**Lauren Sanfilippo, Director and Senior Investment Strategist**

Headline Q2 earnings numbers look almost too good to be true. And in a sense, they are. With nearly all of S&P 500 companies' results reported, EPS growth is tracking around 50% year-over-year (YoY)—not just an acceleration from Q1 but a second consecutive quarter above 20%. Chiefly skewing the headline number are massive mark-to-market gains on private investments for a handful of mega cap technology companies like Alphabet and Amazon that booked outsized non-operating gains tied to their stakes in Anthropic, while Microsoft benefited from its OpenAI investment. Strip those out, and adjusted EPS growth notches down to 31%. The point being, after being sliced and diced, 30%+ is well above any long-run historical earnings growth rate.

The one-off nature of earnings strength wasn't limited to investment gains. A second, less-discussed boost was tariff refunds. As Exhibit 3 illustrates, revenues from tariffs steadily climbed from early 2025 through mid-2026 until the International Emergency Economic Powers Act (IEEPA) tariff ruling which initiated the refund process. As refunds were disbursed, customs receipts turned net negative in June and July, with refund payments exceeding total tariff collections. Customs and Border Protection cash withdrawals of more than \$100 billion in refunds have now been paid—60% of the \$165 billion in total eligible claims.

The recipients: the “importers of record,” or the dozens of S&P 500 companies that have disclosed billions in refunds over the past two quarters; Apple alone received \$2.19 billion, adding \$0.11 to per-share earnings to their quarter. Other disclosed refunds include Nike with \$986 million, Amazon with \$640 million, and General Motors refunded \$500 million (although accounting treatment and use of proceeds has varied).

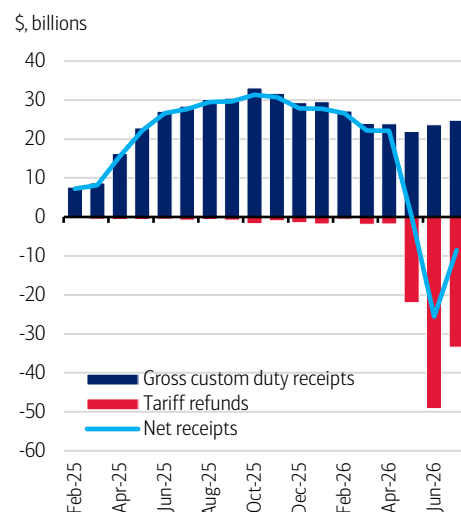
The boost of investment gains and/or refunds may not be repeatable in future quarters. Perhaps more telling is that the median company's revenue grew roughly 15% YoY, the strongest gain in years, corroborating that there is operating momentum rather than just an accounting mirage for Q2 earnings. Margins, too, as a percent of GDP are at their highest back to 1950, hovering north of 22%, see Exhibit 4. That this is occurring amid rising rates and at a time of geopolitical uncertainty/disruption, rather than a post-recessionary recovery, makes the results that much more impressive.

**The Path Forward:** Questions remain about the sustainability of these elevated growth rates, although consensus expects EPS growth to stay above 20% in both Q3 and Q4. If achieved, every quarter this year would see 20%-plus EPS growth. On the back of brighter outlooks from Corporate America in recent weeks, full-year earnings growth will decelerate into the mid-teens in 2027, but that moderation comes off a high base of 2026. For now, the breadth of earnings growth is the encouraging story as 10 of the 11 sectors reported growth (Energy and Communication Services leading the way, Healthcare the only detractor). That's a reflection of strong core businesses growing revenues into 2027's tougher YoY comparisons.

### Investment Implications

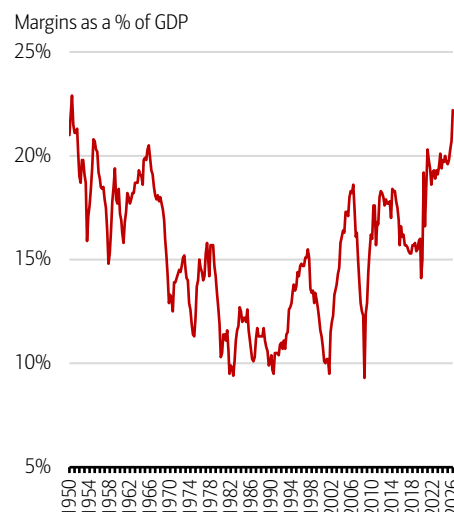
Underlying earnings-per-share (EPS) growth of around 30%, stripped of investment gains, is historically exceptional. It remains that robust corporate earnings and positive revisions have helped Equities absorb concerns around the recent rise in yields.

**Exhibit 3: The Tariff Give and Take.**



Sources: U.S. Treasury; Haver Analytics. Data through July 2026, as of August 24, 2026.

**Exhibit 4: Domestic Margins Approach All-Time High.**



Sources: Bureau of Economic Analysis; Haver Analytics. Data as of September 1, 2026.

Equities

| Equities              | Total Return in USD (%) |      |     |      |
|-----------------------|-------------------------|------|-----|------|
|                       | Current                 | WTD  | MTD | YTD  |
| DJIA                  | 53,414.25               | -0.2 | 0.5 | 12.4 |
| NASDAQ                | 26,506.99               | 0.4  | 0.5 | 14.5 |
| S&P 500               | 7,718.60                | 0.1  | 0.5 | 13.7 |
| S&P 400 Mid Cap       | 3,784.99                | 0.2  | 0.7 | 15.5 |
| Russell 2000          | 2,975.65                | 0.2  | 0.7 | 20.8 |
| MSCI World            | 4,986.93                | 0.1  | 0.4 | 13.6 |
| MSCI EAFE             | 3,239.16                | -0.2 | 0.2 | 14.1 |
| MSCI Emerging Markets | 1,726.32                | 0.3  | 0.4 | 24.6 |

Fixed Income†

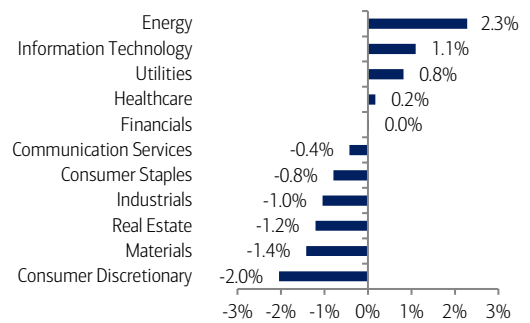
| Fixed Income                 | Total Return in USD (%) |       |       |       |
|------------------------------|-------------------------|-------|-------|-------|
|                              | Current                 | WTD   | MTD   | YTD   |
| Corporate & Government       | 4.96                    | -0.19 | -0.12 | -0.57 |
| Agencies                     | 4.68                    | -0.04 | -0.04 | 0.41  |
| Municipals                   | 4.07                    | -0.81 | -0.52 | -0.33 |
| U.S. Investment-Grade Credit | 5.04                    | -0.18 | -0.09 | -0.40 |
| International                | 5.54                    | -0.29 | -0.20 | -0.60 |
| High Yield                   | 7.37                    | -0.15 | -0.12 | 2.57  |
| 90 Day Yield                 | 3.84                    | 3.80  | 3.83  | 3.63  |
| 2 Year Yield                 | 4.37                    | 4.34  | 4.34  | 3.47  |
| 10 Year Yield                | 4.78                    | 4.72  | 4.75  | 4.17  |
| 30 Year Yield                | 5.24                    | 5.21  | 5.24  | 4.84  |

Commodities & Currencies

| Commodities           | Total Return in USD (%) |      |      |      |
|-----------------------|-------------------------|------|------|------|
|                       | Current                 | WTD  | MTD  | YTD  |
| Bloomberg Commodity   | 368.84                  | 2.0  | 1.1  | 33.5 |
| WTI Crude \$/Barrel†† | 91.48                   | 9.7  | 6.7  | 59.3 |
| Gold Spot \$/Ounce††  | 4429.98                 | -0.6 | -0.2 | 2.6  |

| Currencies | Total Return in USD (%) |                |                 |               |
|------------|-------------------------|----------------|-----------------|---------------|
|            | Current                 | Prior Week End | Prior Month End | 2025 Year End |
| EUR/USD    | 1.16                    | 1.16           | 1.16            | 1.17          |
| USD/JPY    | 156.26                  | 160.09         | 159.74          | 156.71        |
| USD/CNH    | 6.71                    | 6.73           | 6.72            | 6.98          |

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 8/31/2026 to 9/4/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 9/4/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 9/4/2026)

| Economic Forecasts                 | Q1 2026A | Q2 2026A | Q3 2026E | Q4 2026E | 2026E | 2027E |
|------------------------------------|----------|----------|----------|----------|-------|-------|
| Real global GDP (% y/y annualized) | -        | -        | -        | -        | 3.2   | 3.4   |
| Real U.S. GDP (% q/q annualized)   | 2.1      | 1.5      | 2.5      | 2.4      | 2.1   | 2.2   |
| CPI inflation (% y/y)              | 2.7      | 3.8      | 3.2      | 2.9      | 3.2   | 2.0   |
| Core CPI inflation (% y/y)         | 2.5      | 2.7      | 2.4      | 2.5      | 2.5   | 2.5   |
| Unemployment rate (%)              | 4.3      | 4.3      | 4.2      | 4.2      | 4.2   | 4.2   |
| Fed funds rate, end period (%)     | 3.63     | 3.63     | 3.88     | 4.38     | 4.38  | 4.38  |

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.** A = Actual. E/\* = Estimate. Data as of September 4, 2026. Sources: BofA Global Research; GWIM ISC as of September 4, 2026.

Asset Class Weightings (as of 9/2/2026)

| Asset Class                      | CIO View    |         |            |
|----------------------------------|-------------|---------|------------|
|                                  | Underweight | Neutral | Overweight |
| Global Equities                  | •           | •       | •          |
| U.S. Large-cap Growth            | •           | •       | •          |
| U.S. Large-cap Value             | •           | •       | •          |
| U.S. Small-cap Growth            | •           | •       | •          |
| U.S. Small-cap Value             | •           | •       | •          |
| International Developed          | •           | •       | •          |
| Emerging Markets                 | •           | •       | •          |
| Global Fixed Income              | •           | •       | •          |
| U.S. Governments                 | •           | •       | •          |
| U.S. Mortgages                   | •           | •       | •          |
| U.S. Corporates                  | •           | •       | •          |
| International Fixed Income       | •           | •       | •          |
| High Yield                       | •           | •       | •          |
| U.S. Investment-grade Tax Exempt | •           | •       | •          |
| U.S. High Yield Tax Exempt       | •           | •       | •          |
| Alternative Investments*         |             |         |            |
| Hedge Strategies                 |             |         |            |
| Private Equity                   |             |         |            |
| Private Credit                   |             |         |            |
| Real Assets                      |             |         |            |
| Cash                             |             |         |            |

CIO Equity Sector Views

| Sector                 | CIO View    |         |            |
|------------------------|-------------|---------|------------|
|                        | Underweight | Neutral | Overweight |
| Industrials            | •           | •       | •          |
| Financials             | •           | •       | •          |
| Healthcare             | •           | •       | •          |
| Consumer Discretionary | •           | •       | •          |
| Information Technology | •           | •       | •          |
| Energy                 | •           | •       | •          |
| Materials              | •           | •       | •          |
| Utilities              | •           | •       | •          |
| Communication Services | •           | •       | •          |
| Real Estate            | •           | •       | •          |
| Consumer Staples       | •           | •       | •          |

\* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of September 2, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

# Index Definitions

**Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.**

**S&P 500 Index** is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

**Bloomberg Commodity Index** tracks prices of futures contracts on physical commodities on the commodity markets.

## Important Disclosures

**Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.**

Bank of America, Merrill, their affiliates and advisors do not provide legal, tax or accounting advice. Clients should consult their legal and/or tax advisors before making any financial decisions.

This material does not take into account a client's particular investment objectives, financial situations, or needs and is not intended as a recommendation, offer, or solicitation for the purchase or sale of any security or investment strategy. Merrill offers a broad range of brokerage, investment advisory and other services. There are important differences between brokerage and investment advisory services, including the type of advice and assistance provided, the fees charged, and the rights and obligations of the parties. It is important to understand the differences, particularly when determining which service or services to select. For more information about these services and their differences, speak with your Merrill financial advisor.

This information should not be construed as investment advice and is subject to change. It is provided for informational purposes only and is not intended to be either a specific offer by Bank of America, Merrill or any affiliate to sell or provide, or a specific invitation for a consumer to apply for, any particular retail financial product or service that may be available.

The Chief Investment Office ("CIO") provides thought leadership on wealth management, investment strategy and global markets; portfolio management solutions; due diligence; and solutions oversight and data analytics. CIO viewpoints are developed for Bank of America Private Bank, a division of Bank of America, N.A., ("Bank of America") and Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S" or "Merrill"), a registered broker-dealer, registered investment adviser and a wholly owned subsidiary of Bank of America Corporation ("BoFA Corp.").

The Global Wealth & Investment Management Investment Strategy Committee ("GWIM ISC") is responsible for developing and coordinating recommendations for short-term and long-term investment strategy and market views encompassing markets, economic indicators, asset classes and other market-related projections affecting GWIM.

BoFA Global Research is research produced by BoFA Securities, Inc. ("BoFAS") and/or one or more of its affiliates. BoFAS is a registered broker-dealer, Member SIPC and wholly owned subsidiary of Bank of America Corporation.

All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

**Alternative investments are speculative and involve a high degree of risk.**

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

© 2026 Bank of America Corporation. All rights reserved.

CHIEF INVESTMENT OFFICE

# Capital Market Outlook

August 31, 2026

All data, projections and opinions are as of the date of this report and subject to change.

## IN THIS ISSUE

**Macro Strategy—Moderate Growth, Broadening Opportunities:** With incoming data showing moderate growth with relatively steady inflation, concern about a destabilizing increase in interest rates have recently centered around heavier-than-expected government and corporate debt issuance alongside potentially softer foreign demand for Treasury securities—such as due to structural changes from normalizing interest rates in Japan following decades of abnormally low levels, for example. However, with private-sector underpinnings healthy, the unique role of the U.S. in the global economy and financial markets, and scope to gradually reduce fiscal deficits without dire effects on economic growth, market pricing has remained more focused on near-term growth and inflation dynamics—with interest rates contained in their three-year range and quite sensitive to oil market developments. Consistent with an extended expansion and surging profits, credit spreads have also remained narrow. We remain optimistic about growth and inflation dynamics and expect cyclical assets to continue to outperform despite occasional trepidations.

**Market View—Taking Stock of the End of Capital Abundance:** For much of the past quarter century, the global economy enjoyed a remarkable luxury: Capital was abundant, cheap and seemingly limitless. Few countries benefited more from this age of capital abundance than the U.S. For decades, the world was happy to finance the difference.

Now, at precisely the moment when America's financing needs have rarely been greater, the age of abundant capital is giving way to something very different: The age of capital competition. While the supply of savings hasn't collapsed, the world has developed an enormous appetite for capital. We call the list of claimants on capital the Five Ds: Debt, Defense, Digitalization, Demographics and Deglobalization. Between large structural deficits, the end of the post-Cold War peace dividend, the capital-intensive Artificial Intelligence (AI) buildout, aging populations and the reorganization of supply chains, emerging competition for capital has become visible in the capital markets. For investors, all the above likely means structurally higher real interest rates and leaders in areas like power generation, defense, industrial automation and other capital-intensive industries. In the end, the age of capital abundance is fading—the era whereby capital basically chased borrowers is past. Prologue will be defined by borrowers chasing capital. The tide has turned.

## The Ticker Tape—Top Questions Answered Directly by Our Chief Investment Officer (CIO).

- What portfolio addition could potentially help mitigate a sharp rise in inflation and/or yields? How about the start of a new hiking cycle where short-term interest rates rise consistently?

Merrill Lynch, Pierce, Fenner & Smith Incorporated (also referred to as "MLPF&S" or "Merrill") makes available certain investment products sponsored, managed, distributed or provided by companies that are affiliates of Bank of America Corporation ("BofA Corp."). MLPF&S is a registered broker-dealer, registered investment adviser, Member [SIPC](#) and a wholly owned subsidiary of BofA Corp.  
Investment products:

|                      |                         |                |
|----------------------|-------------------------|----------------|
| Are Not FDIC Insured | Are Not Bank Guaranteed | May Lose Value |
|----------------------|-------------------------|----------------|

Please see last page for important disclosure information.

9099650 8/2026

## AUTHORS

**Chief Investment Office**  
Macro Strategy Team

**Joseph Quinlan**  
Managing Director and Head of Market Strategy

**Christopher Hyzy**  
Chief Investment Officer

**MACRO STRATEGY ►**

**MARKET VIEW ►**

**THE TICKER TAPE ►**

**MARKETS IN REVIEW ►**

## Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer-dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets, and global strategies to capture themes from AI, reindustrialization, infrastructure growth and market dispersion.

Moderate Growth, Broadening Opportunities

Chief Investment Office, Macro Strategy Team

Although the Citi Economic Surprise Index has been easing over the past month as a rising number of data releases have fallen short of elevated expectations (Exhibit 1), the data remains broadly positive and consistent with sustained moderate growth. Indeed, with alternating waves of headwinds and tailwinds, real consumer spending and gross domestic product (GDP) continue to expand near their longer-run average rates even with substantial wealth effects and strong growth in government transfer payments.

Employment and hours worked have barely increased over the past year, leaving productivity to account for nearly all the economic growth. Combined with moderating wage growth, this has contained unit labor costs—a positive for inflation dynamics. Despite stubborn readings above the Federal Reserve’s (Fed) 2% target inflation through July, consumer price index data were relatively favorable, and although the latest personal consumption expenditures (PCE) report was less reassuring, much of the upside pressure remained concentrated in healthcare, tariff- and energy-sensitive categories, as well as in volatile financial services that tend to follow equity-market gains. The latter inflation category is slated to be revised lower when new index methodologies are announced next month. Meanwhile, a broad range of other goods and services showed signs of cooling inflation on a three-month annualized basis, as shown in Exhibit 2.

Exhibit 1: Economic Data Surprises Have Been More Mixed Over The Past Month...



Source: Bloomberg. Data as of August 26, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

Basically, tariffs, elevated oil prices, wealth effects and AI-related electronics price inflation continue to put upward pressure on inflation and interest rates. Although higher gasoline prices have largely offset the One Big Beautiful Bill Act’s (OBBBA) direct benefit to consumers, the shift from a negative fiscal impulse in 2025 to a positive impulse this year has supported aggregate demand, contributing to the stalled progress on headline inflation. Government transfers increased rapidly in July to a new high as a share of personal income, as aging baby boomers retire.

Upside pressures on inflation have been counteracted in large part by slowing wage growth, subdued housing activity, relatively tame credit growth, strong productivity, and soft unit labor cost increases. In our view, if demand materially exceeded productive capacity, inflation reacceleration would be much more pervasive.

Also important, the effective tariff rate is expected to average approximately 10% this year, broadly matching its 2025 average absent another policy shock. The tariff contribution to inflation is thus expected to continue to fade from its estimated early-2026 peak of roughly 0.8 percentage point. Further oil-price moderation and methodological changes affecting financial-service prices and other categories seen as misrepresenting true inflation will also help improve the picture. Alongside anchored longer-term inflation expectations, this suggests a gradual further moderation in inflation, which would improve household purchasing power and support economic

Investment Implications

Trend economic growth near potential—led by strengthening business investment, manufacturing activity, and sturdy productivity increases—suggests continued expansion with moderate inflation as well as broadening earnings growth across sectors and market capitalization.

Exhibit 2: ....And Upside Inflation Pressures Have Become Less Broad-based Over the Past Three Months.

| PCE Price Index                                 | 3-month annualized % change | Year-over-Year %* | Average over pre-pandemic decade** |
|-------------------------------------------------|-----------------------------|-------------------|------------------------------------|
| Tax preparation and related businesses          | 41.0%                       | 2.8%              | 3.8%                               |
| Financial services (charges, fees, commissions) | 31.0%                       | 14.0%             | 5.0%                               |
| Housing and Utilities                           | 2.9%                        | 3.3%              | 2.4%                               |
| Healthcare                                      | 3.3%                        | 3.0%              | 1.6%                               |
| Ground transportation services                  | -6.8%                       | 1.4%              | 2.1%                               |
| Air transportation services                     | 12.5%                       | 17.0%             | 2.4%                               |
| Recreation services                             | 0.1%                        | 2.9%              | 2.0%                               |
| Food services and accommodation                 | 0.6%                        | 3.4%              | 2.4%                               |
| Durable goods                                   | 1.5%                        | 3.4%              | -1.7%                              |
| Recreational goods and vehicles                 | 8.7%                        | 8.6%              | -4.8%                              |
| Motor vehicle tires, parts, and accessories     | 7.0%                        | 4.0%              | 1.0%                               |
| Furnishings and household durable goods         | -4.6%                       | 0.4%              | -1.9%                              |
| Clothing and footwear                           | -1.0%                       | 3.5%              | 0.3%                               |
| Information Processing Equipment                | 12%                         | 15%               | -6%                                |

\* July 2026/July 2025. \*\*2010-2019 Average. Sources: Haver Analytics; Chief Investment Office. Data as of August 26, 2026 It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results..**

growth. Real consumer spending appears on track for approximately 2.5% to 3% annualized growth in Q3, following + 0.5% in Q1 and +3.5% in Q2.

Also positive, business investment in equipment and intellectual property accelerated strongly in the first half. Business investment in manufactured goods is particularly positive for broadening economic growth given manufacturing activity's high multiplier effect on jobs and aggregate demand. Helped by surging AI investment, OBBBA tax incentives, and rebounding profitability, manufacturing activity is rapidly improving after several weak years, helping sustain real GDP growth near 2.1% year-over-year, in line with its 25-year average. Although July "core" capital-goods orders were disappointing, June was revised substantially higher, raising estimates for Q3 business investment. Strong regional manufacturing surveys also point to strong momentum, mostly the direct result of surging AI-related investment.

While there is no single accepted estimate for AI investment in the U.S., it is generally projected at around \$600 billion in 2026, \$850 billion in 2027, \$950 billion in 2028, and over \$1 trillion in 2029. While reaching new highs, its growth rate—and therefore its contribution to GDP growth—is eventually projected to moderate from +50% to +60% in 2026 and 2027 to +10% by 2029. Also important, its domestic impact is smaller than the headline total suggests. According to industry estimates, 70% of AI spending is directed toward equipment, most of it imported. Thus, only around 50% of projected U.S. AI investment is poised to directly help the domestic economy—though still enough to help broaden growth through expanding domestic data-center construction, equipment production, power generation, and supporting infrastructure.

The manufacturing sector's broader spillovers to suppliers, construction, transportation, and services make the sector's recovery an important support for continued expansion. Consistent with surging AI capital expenditures, rebounding industrial production, and very strong profit estimates both here and abroad, BofA's Global Wave<sup>1</sup> indicator has continued to increase—a typically favorable indicator for cyclical assets' performance relative to defensives.

With the growth and inflation outlook remaining positive, concerns have shifted to fiscal strains and uncertainty, as the 2026 deficit appears likely to exceed the Congressional Budget Office's February projection by about \$200 billion, and publicly-held debt is projected to rise from approximately 101% of GDP in 2026 to 120% by 2036—a path that could test investor confidence.

However, since there is no identifiable debt threshold that automatically triggers a crisis, and comparisons with smaller or externally indebted economies are imperfect, the loss of confidence in the sustainability of the debt has been short-lived. Indeed, U.S. debt is dollar-denominated and approximately 70% is domestically held. Deep capital markets and the dollar's global reserve currency role sustain structural Treasury demand. Also important, healthy private sector balance sheets and productivity growth leave scope for gradual fiscal consolidation in a solidly growing economy without the dire negative effects on the economy observed in past debt crises overseas. Thus, despite recent concerns, Treasury yields remain within their three-year range and broadly consistent with moderate growth and anchored inflation expectations, their recent variations largely tracking energy prices and geopolitical developments.

Also important, the term premium has returned to pre-global-financial-crisis levels following exceptionally low levels in the post-2008-2009 decade. However, its increase appears to be just a normalization in a delayed response to previous monetary tightening. Indeed, the estimated 10-year term premium—or compensation required by investors to hold long-term debt rather than roll over short-term debt—has historically followed the federal funds rate with a substantial lag of almost 3 years.

While government debt supply, central-bank balance sheet policy, inflation, and interest-rate volatility shape the term premium, the lagged fed funds-term premium correlation suggests that the 2024 to 2025 policy easing is likely to act as a moderating force on the term premium for the foreseeable future. In our view, the growth and interest rate environment is, therefore, likely to remain constructive for continued expansion and cyclical assets' performance, including materials and infrastructure investments while fiscal uncertainty, soft labor demand, and an eventually moderating AI investment impulse argue for portfolio diversification.

<sup>1</sup> BofA Global Wave quantifies global economic trends, and it is used to forecast stock market performance.

## MARKET VIEW

### Taking Stock of the End of Capital Abundance

**Joseph Quinlan, *Managing Director and Head of Market Strategy***

For much of the past quarter century, the global economy enjoyed a remarkable luxury: Capital was abundant, cheap and seemingly limitless.

Savings flowed freely across borders. Global interest rates drifted steadily lower and, for a time, actually turned negative across parts of Europe and Japan. Governments borrowed with few apparent consequences. Corporations financed growth at historically attractive rates. Households gained access to inexpensive credit. And investors prospered as declining discount rates helped push the valuations of stocks, bonds, real estate and other financial assets higher.

Few countries benefited more from this age of capital abundance than the U.S. As the world's largest debtor nation and home to the world's deepest capital markets, America tapped the global savings pool with extraordinary ease. Foreign capital helped finance persistent federal budget and current account deficits while keeping U.S. borrowing costs remarkably low. Washington could spend more than it collected, households could consume more than they earned, and the country as a whole could invest more than it saved.

For decades, the world was happy to finance the difference. That comfortable arrangement is now being challenged. At precisely the moment when America's financing needs have rarely been greater, the age of abundant capital is giving way to something very different: The age of capital competition.

Importantly, the world is not running out of savings. According to the International Monetary Fund, gross global savings remain around 27% of world GDP, roughly in line with the average of this century. The supply of savings has not collapsed.

What has changed is the other side of the equation. The world has developed an enormous appetite for capital. Governments, corporations and households are increasingly competing for essentially the same pool of savings. And when demand for something rises faster than its supply, its price tends to rise. For capital, that price is the interest rate.

The past was different. The previous era of abundance was unusual not merely because the world saved a great deal but because investment demand was comparatively weak.

China, Germany, Japan, oil-producing nations and other surplus economies generated enormous pools of excess savings. Emerging market central banks accumulated foreign exchange reserves, much of which found its way into U.S. Treasury securities. Meanwhile, following the global financial crisis, private investment across much of the developed world remained subdued.

**The upshot:** Too much capital was chasing too few attractive and potential investment opportunities.

Today, that equation is reversing. Global savings remain plentiful, but the list of claimants on that capital is exploding. We call them the Five Ds: Debt, Defense, Digitalization, Demographics and Deglobalization.

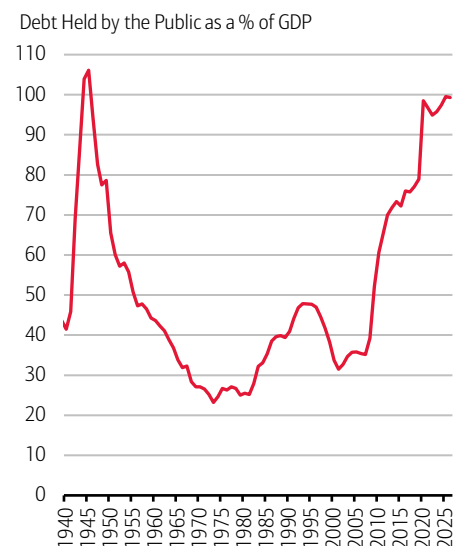
**Start with debt.** Governments across the developed world are running large structural deficits while simultaneously confronting rising interest expenses. The U.S. stands out. Federal debt held by the public is approaching the size of annual U.S. GDP, and Washington must finance large new deficits while continually refinancing trillions of dollars of existing obligations (Exhibits 3 and 4). Treasuries are therefore competing for capital on a massive scale.

**Then comes defense.** Russia's invasion of Ukraine, tensions in the Middle East and strategic competition between the U.S. and China have ended the post-Cold War peace dividend. America is rebuilding munitions inventories, Europe is rearming, and Asian

### Investment Implications

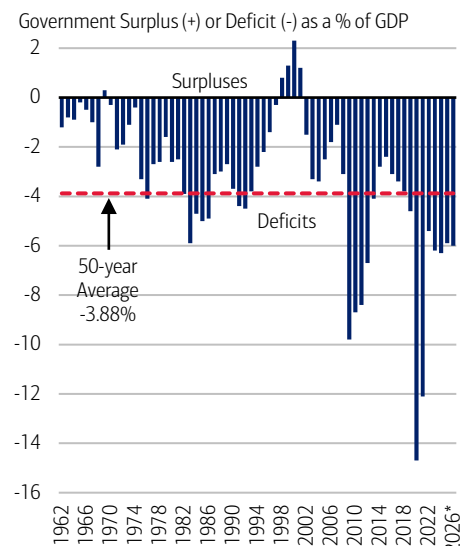
The age of capital competition will likely favor quality companies with strong balance sheets, durable cash flows and capital discipline, in our view. Investors should consider from the global capital spending cycle via exposure to themes such as power and electrical infrastructure, defense, robotics, semiconductors and data centers.

### Exhibit 3: U.S. Debt-to-GDP Ratio Hovers at 100%.



Sources: Office of Management and Budget; U.S. Treasury; Bureau of Economic Analysis. Data as of August 2026. 2026 estimate based on latest debt figure and Q2 GDP.

### Exhibit 4: U.S. Budget Deficit Remains Elevated.



\*Estimate based on 12 months through July 2026.  
Source: Congressional Budget Office; U.S. Department of the Treasury. Data as of August 2026.

nations are increasing military expenditures. Ships, missiles, satellites, drones and defense-production facilities all require capital.

**Third is digitalization.** The AI revolution may prove to be among the most capital-intensive technological transformations in history. Technology companies are spending extraordinary sums on data centers, advanced semiconductors, networking equipment and power generation. Utilities need capital to expand and modernize electrical grids. Semiconductor manufacturers require tens of billions of dollars to build advanced fabrication plants. All the above is enormously expensive and demands capital.

**Fourth is demographics.** Aging populations are placing growing pressure on government budgets through pensions, healthcare and other social programs. Fewer workers relative to retirees mean greater fiscal burdens across much of the developed world. In the U.S. alone, mandatory spending outlays on Medicaid, Medicare and Social Security have jumped from \$724 billion in 2000 to \$3.2 trillion in FY 2025.

**Finally, there is deglobalization.** For decades, globalization was fundamentally about efficiency: Produce goods wherever costs were lowest. Today's world increasingly prizes resilience and national security, which means the duplication of supply chains, reshored factories, expanding strategic inventories and subsidized domestic manufacturing facilities. All these objectives, of course, require capital.

Indeed, the common denominator of debt, defense, digitalization, demographics and deglobalization is access to capital. And since these factors are structural rather than cyclical, their demands on global savings are unlikely to fade any time soon.

Evidence of this emerging competition is increasingly visible in financial markets. Investment-grade companies have already sold nearly \$1.5 trillion of bonds this year, roughly 36% more than during the comparable period last year and on pace to challenge previous records, according to Bloomberg. With hyperscalers expected to continue pouring capital into AI infrastructure through the end of the decade, corporate demand for financing could remain elevated for years.

Meanwhile, the U.S. Treasury must finance enormous federal deficits. The result is an increasingly crowded marketplace in which governments and corporations are competing for the same investor dollars. Recent shifts by investment grade bond funds away from Treasuries and toward corporate debt offer a small but telling glimpse of what this new environment may look like (Exhibits 5 and 6).

For investors, the implications are significant. First, real interest rates may remain structurally higher than during much of the previous two decades. Investors waiting for a return to the ultra-low-rate environment of the 2010s may be waiting a very long time.

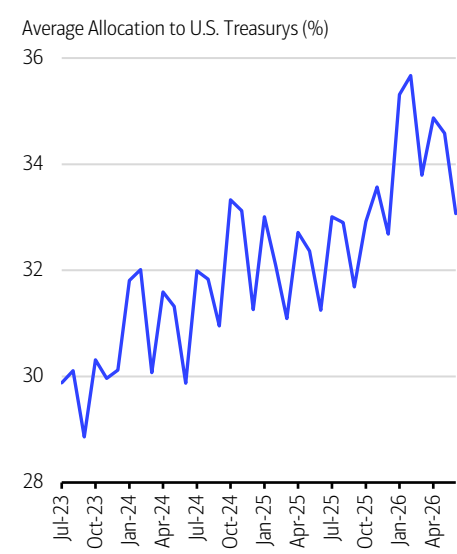
Second, fiscal policy matters again. In an era of abundant capital, markets often tolerated fiscal excess. In a world of greater capital competition, countries that borrow heavily without generating corresponding economic returns may eventually pay a higher price. Keep a close eye on Japan.

Third, capital allocation matters more. Companies capable of generating strong returns on invested capital, maintaining healthy balance sheets and funding expansion internally should command a premium. When money is no longer virtually free, the difference between productive investment and financial engineering becomes much more important.

Fourth, the world's enormous capital spending cycle should create winners. Power generation, electrical infrastructure, defense, industrial automation, semiconductors, data centers and other capital-intensive industries could enjoy years of elevated investment and higher-than-expected earnings growth, in our view.

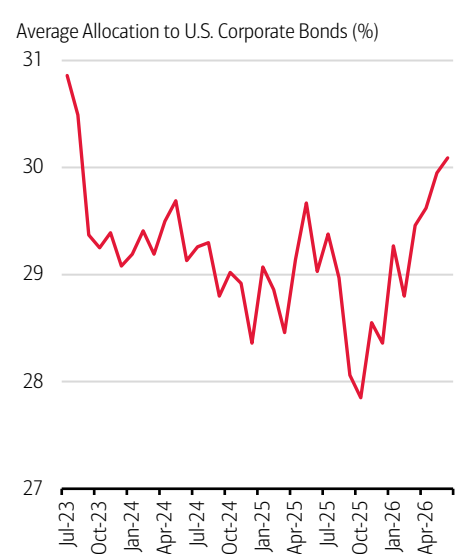
In the end, the age of capital abundance is fading—the era whereby capital basically chased borrowers is past. Prologue will be defined by borrowers chasing capital. The tide has turned.

**Exhibit 5: Bond Funds Have Trimmed Treasury Exposure This Year...**



Refers to average monthly exposure of U.S. Intermediate Core Bond funds to Treasuries and corporate bonds. Sources: Morningstar; Bloomberg. Data as of August 20, 2026.

**Exhibit 6: ...While Adding Corporate Bond Exposure.**



Refers to average monthly exposure of U.S. Intermediate Core Bond funds to Treasuries and corporate bonds. Sources: Morningstar; Bloomberg. Data as of August 20, 2026.

## What portfolio addition could potentially help mitigate a sharp rise in inflation and/or yields? How about the start of a new hiking cycle where short-term interest rates rise consistently?

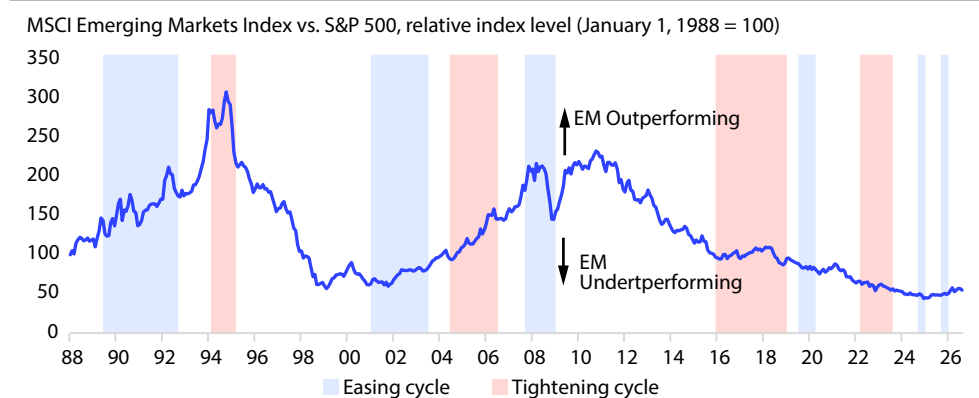
Christopher Hyzy, *Chief Investment Officer*

- If inflation or a weaker U.S. dollar are the reason for a sharp rise in yields, then increasing exposure to Commodities as a complement to a core portfolio makes sense. Above-average inflation that is consistent and not excessive mixed with a weaker U.S. dollar are generally tailwinds for commodities and the companies that mine for them. Additionally, if global economic growth is running above trend and the U.S. dollar weakens as it normalizes relative to other currencies, then adding non-U.S. Developed Markets and Emerging Markets (EM) exposure also makes sense.
- If short rates rise sharply due to a new interest rate hiking cycle, a more defensive tilt in asset exposure makes sense. In other words, in the equity markets more defensive sectors become more in demand, lower-volatility and higher-quality areas become more in demand, cyclical shares tend to feel downward pressure, and highly levered areas without a ton of debt are generally impacted the most. If the short-term rate rise is minimal and a new hiking cycle is not beginning, then a solid mixture of Value and Growth Equities, laddered portfolio in bonds, exposure to commodities and thematic ideas make the most sense overall, in our view.

### Portfolio Considerations

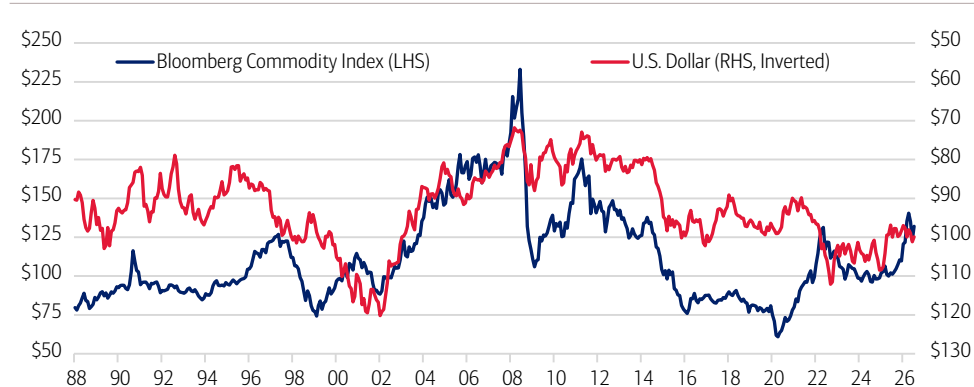
Rising inflation or a weaker U.S. dollar can favor commodities and international Equities, while sharp rate hikes support a more defensive stance, though a balanced mix of Value and Growth stocks, bonds, commodities, and thematic investments remains appropriate if rate increases are limited.

### Exhibit 7: MSCI EM vs S&P 500 Indexes Through Fed Cycles.



Sources: Bloomberg; Chief Investment Office. Data as of July 31, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

### Exhibit 8: A Weaker Dollar Has Historically Fueled Commodity Strength.



Source: Bloomberg. Data as of August 27, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

Equities

| Equities              | Total Return in USD (%) |      |     |      |
|-----------------------|-------------------------|------|-----|------|
|                       | Current                 | WTD  | MTD | YTD  |
| DJIA                  | 53,559.99               | 0.6  | 2.2 | 12.6 |
| NASDAQ                | 26,402.42               | 0.9  | 4.1 | 14.0 |
| S&P 500               | 7,711.76                | 0.5  | 3.1 | 13.5 |
| S&P 400 Mid Cap       | 3,779.47                | -1.3 | 0.7 | 15.3 |
| Russell 2000          | 2,972.37                | -1.5 | 1.5 | 20.6 |
| MSCI World            | 4,986.16                | 0.3  | 3.0 | 13.5 |
| MSCI EAFE             | 3,246.34                | 0.1  | 2.4 | 14.3 |
| MSCI Emerging Markets | 1,722.14                | 0.0  | 3.5 | 24.3 |

Fixed Income<sup>†</sup>

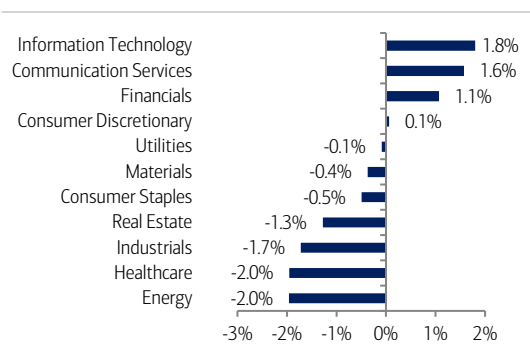
| Fixed Income                 | Total Return in USD (%) |       |      |       |
|------------------------------|-------------------------|-------|------|-------|
|                              | Current                 | WTD   | MTD  | YTD   |
| Corporate & Government       | 4.91                    | 0.15  | 0.43 | -0.38 |
| Agencies                     | 4.66                    | -0.10 | 0.20 | 0.44  |
| Municipals                   | 3.93                    | -0.16 | 0.06 | 0.49  |
| U.S. Investment-Grade Credit | 4.99                    | 0.13  | 0.48 | -0.21 |
| International                | 5.48                    | 0.32  | 0.53 | -0.30 |
| High Yield                   | 7.27                    | 0.27  | 1.00 | 2.72  |
| 90 Day Yield                 | 3.80                    | 3.79  | 3.75 | 3.63  |
| 2 Year Yield                 | 4.34                    | 4.24  | 4.29 | 3.47  |
| 10 Year Yield                | 4.72                    | 4.73  | 4.73 | 4.17  |
| 30 Year Yield                | 5.21                    | 5.27  | 5.27 | 4.84  |

Commodities & Currencies

| Commodities                       | Total Return in USD (%) |      |      |      |
|-----------------------------------|-------------------------|------|------|------|
|                                   | Current                 | WTD  | MTD  | YTD  |
| Bloomberg Commodity               | 361.68                  | -0.1 | 6.5  | 30.9 |
| WTI Crude \$/Barrel <sup>††</sup> | 83.40                   | -4.2 | -1.5 | 45.2 |
| Gold Spot \$/Ounce <sup>††</sup>  | 4455.11                 | -3.2 | 10.1 | 3.1  |

| Currencies | Total Return in USD (%) |                |                 |               |
|------------|-------------------------|----------------|-----------------|---------------|
|            | Current                 | Prior Week End | Prior Month End | 2025 Year End |
| EUR/USD    | 1.16                    | 1.17           | 1.15            | 1.17          |
| USD/JPY    | 160.09                  | 158.95         | 157.40          | 156.71        |
| USD/CNH    | 6.73                    | 6.72           | 6.75            | 6.98          |

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 08/24/2026 to 08/28/2026. <sup>†</sup>Bloomberg Barclays Indices. <sup>††</sup>Spot price returns. All data as of the 08/28/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 8/28/2026)

| Economic Forecasts                 | Q1 2026A | Q2 2026A | Q3 2026E | Q4 2026E | 2026E | 2027E |
|------------------------------------|----------|----------|----------|----------|-------|-------|
| Real global GDP (% y/y annualized) | -        | -        | -        | -        | 3.2   | 3.4   |
| Real U.S. GDP (% q/q annualized)   | 2.1      | 1.5      | 2.5      | 2.4      | 2.1   | 2.2   |
| CPI inflation (% y/y)              | 2.7      | 3.8      | 3.2      | 2.9      | 3.2   | 2.0   |
| Core CPI inflation (% y/y)         | 2.5      | 2.7      | 2.4      | 2.5      | 2.5   | 2.5   |
| Unemployment rate (%)              | 4.3      | 4.3      | 4.2      | 4.2      | 4.2   | 4.2   |
| Fed funds rate, end period (%)     | 3.63     | 3.63     | 3.88     | 4.38     | 4.38  | 4.38  |

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.** A = Actual. E/\* = Estimate. Data as of August 28, 2026. Sources: BofA Global Research; GWIM ISC as of August 28, 2026.

Asset Class Weightings (as of 8/4/2026)

| Asset Class                      | CIO View    |   |         |   |            |
|----------------------------------|-------------|---|---------|---|------------|
|                                  | Underweight |   | Neutral |   | Overweight |
| Global Equities                  | •           | • | •       | ● | •          |
| U.S. Large-cap Growth            | •           | • | •       | ● | •          |
| U.S. Large-cap Value             | •           | • | •       | ● | •          |
| U.S. Small-cap Growth            | •           | • | •       | ● | •          |
| U.S. Small-cap Value             | •           | • | •       | ● | •          |
| International Developed          | •           | ● | •       | • | •          |
| Emerging Markets                 | •           | • | •       | ● | •          |
| Global Fixed Income              | •           | ● | •       | • | •          |
| U.S. Governments                 | •           | ● | •       | • | •          |
| U.S. Mortgages                   | •           | ● | •       | • | •          |
| U.S. Corporates                  | •           | ● | •       | • | •          |
| International Fixed Income       | •           | ● | •       | • | •          |
| High Yield                       | •           | ● | •       | • | •          |
| U.S. Investment-grade Tax Exempt | •           | ● | •       | • | •          |
| U.S. High Yield Tax Exempt       | •           | ● | •       | • | •          |
| Alternative Investments*         |             |   |         |   |            |
| Hedge Strategies                 |             |   |         |   |            |
| Private Equity                   |             |   |         |   |            |
| Private Credit                   |             |   |         |   |            |
| Real Assets                      |             |   |         |   |            |
| Cash                             |             |   |         |   |            |

CIO Equity Sector Views

| Sector                 | CIO View    |   |         |   |            |
|------------------------|-------------|---|---------|---|------------|
|                        | Underweight |   | Neutral |   | Overweight |
| Industrials            | •           | • | •       | ● | •          |
| Consumer Discretionary | •           | • | •       | ● | •          |
| Financials             | •           | • | •       | ● | •          |
| Information Technology | •           | • | ●       | • | •          |
| Energy                 | •           | • | ●       | • | •          |
| Materials              | •           | • | ●       | • | •          |
| Utilities              | •           | • | ●       | • | •          |
| Healthcare             | •           | • | ●       | • | •          |
| Communication Services | •           | ● | •       | • | •          |
| Real Estate            | •           | ● | •       | • | •          |
| Consumer Staples       | •           | ● | •       | • | •          |

\* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of August 4, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

## Index Definitions

**Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.**

**S&P 500 Index** is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

**Personal Consumption Expenditures Price Index** is a key economic measure that tracks the average change in prices paid by U.S. consumers for goods and services.

**Citi Economic Surprise Index** is an economic indicator that measures whether published macroeconomic data is beating or missing market expectations.

**Consumer Price Index** is a measure of the average change over time in the prices paid by urban consumers for a representative market basket of consumer goods and services.

**MSCI Emerging Markets Index** is a stock market index that tracks the performance of large-cap and mid-cap companies across 25 developing countries.

**Bloomberg Commodity Index** is a broadly diversified financial benchmark that tracks the price movements of futures contracts on physical commodities.

## Important Disclosures

**Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.**

Bank of America, Merrill, their affiliates and advisors do not provide legal, tax or accounting advice. Clients should consult their legal and/or tax advisors before making any financial decisions.

This material does not take into account a client's particular investment objectives, financial situations, or needs and is not intended as a recommendation, offer, or solicitation for the purchase or sale of any security or investment strategy. Merrill offers a broad range of brokerage, investment advisory and other services. There are important differences between brokerage and investment advisory services, including the type of advice and assistance provided, the fees charged, and the rights and obligations of the parties. It is important to understand the differences, particularly when determining which service or services to select. For more information about these services and their differences, speak with your Merrill financial advisor.

This information should not be construed as investment advice and is subject to change. It is provided for informational purposes only and is not intended to be either a specific offer by Bank of America, Merrill or any affiliate to sell or provide, or a specific invitation for a consumer to apply for, any particular retail financial product or service that may be available.

The Chief Investment Office ("CIO") provides thought leadership on wealth management, investment strategy and global markets; portfolio management solutions; due diligence; and solutions oversight and data analytics. CIO viewpoints are developed for Bank of America Private Bank, a division of Bank of America, N.A., ("Bank of America") and Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S" or "Merrill"), a registered broker-dealer, registered investment adviser and a wholly owned subsidiary of Bank of America Corporation ("BoFA Corp.").

The Global Wealth & Investment Management Investment Strategy Committee ("GWIM ISC") is responsible for developing and coordinating recommendations for short-term and long-term investment strategy and market views encompassing markets, economic indicators, asset classes and other market-related projections affecting GWIM.

BoFA Global Research is research produced by BoFA Securities, Inc. ("BoFAS") and/or one or more of its affiliates. BoFAS is a registered broker-dealer, Member SIPC and wholly owned subsidiary of Bank of America Corporation.

All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

**Alternative investments are speculative and involve a high degree of risk.**

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

© 2026 Bank of America Corporation. All rights reserved.

CHIEF INVESTMENT OFFICE

# Capital Market Outlook

August 24, 2026

All data, projections and opinions are as of the date of this report and subject to change.

## IN THIS ISSUE

### Macro Strategy—Structural Shift Coming in U.S.—Japan Policy Coordination:

Investors are naturally skeptical of foreign exchange intervention by governments to stop weak currencies from depreciating further. The recent joint intervention by the U.S. and Japan was surprisingly not met with such skepticism. It is also the case, however, that well timed intervention can mark a fundamental shift in macro forces that signal a major trend change in currencies. In our view, the recent intervention by the U.S. and Japan to stop the yen's slide marks an important turning point in fundamentals that will strengthen the yen significantly in coming years. The stars are aligned to make this intervention work rather than failing by throwing sand in the wind. Policy shifts are likely to support the fundamental forces that are already in place to help strengthen the extremely undervalued yen. For U.S. investors, this implies a stronger currency would amplify returns from the solid Japan stock market already benefiting from the fundamental reforms that were implemented in the first phase of Abenomics.

**Market View—The Expanding Arctic Economy and What It Means for Investors:** The ongoing Iran/U.S. war has once again highlighted the dependence of global supply chains on key geographical chokepoints. But the contested waterways in the Middle East may yet contribute to a broader reconfiguration of global shipping patterns beyond export activity from the region itself. Along Russia's Arctic coast, the Northern Sea Route in the Arctic Ocean is emerging as a viable transit channel for seaborne trade between Europe and Asia and an alternative shipping lane to the Suez Canal route through the Red Sea. Earlier this month, China's container shipping company Sea Legend Shipping launched its first regular service for goods trade via the route. This marks a major departure from the more intermittent crossings that the waterway has previously served and is likely to portend further growth in economic activity across the Arctic region.

**Thought of the Week—U.S. Debt Levels: It's Not All Bad News:** It's official—Total U.S. government debt just surpassed \$40 trillion, having more than doubled in less than a decade. However, it's not all bad news. Debt held by the public stands at roughly 100% of gross domestic product (GDP), a manageable level in our view. Most importantly, the U.S. consumer and corporate sectors remain in healthy shape, positioning growth to counteract higher deficits.

While the budget deficit at 6% of GDP bears watching, the good news is that the number one engine of growth, the consumer, has deleveraged significantly since the 2008/2009 Great Financial Crisis (GFC), with debt as a share of assets at its lowest level since 1963. Meanwhile, having locked in debt at low rates during the pandemic, corporate balance sheets are in good shape. Looking ahead, the biggest tail risk to households highly exposed to equities would be a bear market that weighs on higher-income spending. That's far from our base case. We think growth and corporate profits can keep the level of debt manageable for now.

Merrill Lynch, Pierce, Fenner & Smith Incorporated (also referred to as "MLPF&S" or "Merrill") makes available certain investment products sponsored, managed, distributed or provided by companies that are affiliates of Bank of America Corporation ("BofA Corp."). MLPF&S is a registered broker-dealer, registered investment adviser, Member [SIPC](#) and a wholly owned subsidiary of BofA Corp.  
Investment products:

|                      |                         |                |
|----------------------|-------------------------|----------------|
| Are Not FDIC Insured | Are Not Bank Guaranteed | May Lose Value |
|----------------------|-------------------------|----------------|

Please see last page for important disclosure information.

9084218 8/2026

## AUTHORS

**Chief Investment Office**  
CIO Macro Strategy Team

**Ehiwario Efeyini**  
Director and Senior Investment Strategist

**Ariana Chiu**  
Assistant Vice President and Investment Strategist

**MACRO STRATEGY ►**

**MARKET VIEW ►**

**THOUGHT OF THE WEEK ►**

**MARKETS IN REVIEW ►**

## Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer-dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets, and global strategies to capture themes from AI, reindustrialization, infrastructure growth and market dispersion.

## Structural Shift Coming in U.S.—Japan Policy Coordination

Chief Investment Office, Macro Strategy Team

Alone among the major economies in the world, Japan has embraced the new administration's efforts to restructure geopolitics—or, at least, has not resisted these changes like the rest of the G7 countries. The issues fueling this resistance, like immigration, for example, just don't resonate in Japan, where there is a solid consensus supportive of long-standing barriers to opening borders. Japan finds itself in the unusual position of having a broad social consensus and much less political friction than the rich countries of the western world that are currently torn by polarization.

In addition, Japan has pursued a set of policies since about 2012 dubbed “Abenomics” with three arrows: monetary easing, fiscal spending and structural reforms to come out of the deflationary funk that prevailed from 1990 until recently. Now, as the U.S. Treasury Secretary said when announcing the joint U.S./Japan decision to intervene in the foreign-exchange market, the new Prime Minister's government is “moving into an exciting new phase of Abenomics, as nearly 15 years of powerful stimulus have created durable, robust underlying economic dynamics.” This new policy phase is part of the fundamental shift that would support the yen. It includes higher Bank of Japan (BoJ) policy rates, a shrinking primary fiscal deficit that is set to turn into a surplus and continued corporate governance reforms that are transforming the Japan equity market into a more attractive destination for investors.

These positive fundamentals help explain why the U.S. Treasury Secretary has announced strong support for “Japan's decisive market and monetary steps to correct the substantial undervaluation of the yen.”

**The yen is massively undervalued.** Exhibit 1A shows the yen's foreign exchange value in purchasing power parity terms: how much the yen buys in Japan versus how much you can buy in the rest of the world when the yen is converted to other currencies. As can be seen, the yen is currently as cheap as it's ever been, even cheaper than in the 1970s when it was deliberately undervalued to generate burgeoning trade surpluses. While currencies can stay undervalued longer than an investor can stay solvent, betting that they will revert to fair value, over long periods of time they do revert to fair value and even overshoot, usually for a period of time when the fundamental forces continue to push the trend past fair value. Fair value is the point where the yen or any currency's value attains purchasing power parity, meaning it can buy the same thing in Japan, for example, as it can in the U.S. when converting the yen to dollars. Currently, fair value for the yen is about 120 yen per dollar, compared to recent market values around 160 yen to the dollar, implying it is about 25% undervalued.

Macro forces to push it back toward fair value imply that the next phase of Abenomics should narrow the large interest rate differential with the dollar in money market, where yen carry trades borrow yen at near-zero interest rates and purchase U.S. assets, yielding much higher rates. As the BoJ raises its policy rate, the incentive to do this diminishes. During the first phase of Abenomics, capital outflows to invest in other countries with higher yields kept downward pressure on the yen that would reverse if new policies incentivize investors to repatriate their money into yen investments. Japan has the third largest level of wealth in the world after the U.S. and China.

Moreover, Japan's wealth is much more evenly distributed over its population, making the average Japanese retail investor a bigger participant in financial markets. A perception that the yen's trend has changed could have a powerful effect on Japanese investors, making them repatriate capital which would likely be part of the reinforcing dynamic of a strengthening yen trend. An already strong Japan stock market is an attractive destination since Abenomics instituted corporate governance reforms, helping investors by increasing corporations' focus on dividends and earnings.

### Investment Implications

A stronger yen and less robust dollar are bullish for global Equities, including Emerging Markets where widespread dollar debt becomes less burdensome in a weaker dollar environment. A softer dollar also tends to be supportive of global growth which is good for cyclical and risk assets.

Finally, Japan fiscal policy has shifted its emphasis toward reducing the deficit, which is improving faster in Japan than in other major economies to the point where a primary surplus is projected in 2027 or 2028. The point is Japan has moved its economy into closer alignment with the other major economies by boosting nominal growth and achieving a 2% inflation rate that all the naysayers said was impossible when Abenomics was launched over a decade ago.

**The dollar is overvalued.** The U.S. is not helping Japan purely out of kindness. It stands to benefit as well. The other half of this realignment of policies to strengthen the yen is a shift in U.S. policies. Exhibit 1B shows the dollar is overvalued to an unprecedented degree in the past half century. This overvaluation means the dollar buys a lot more in Japan when you convert it to yen than it does in the U.S. Recent movements in U.S. markets hint at the policy realignment that's coming from the Federal Reserve (Fed) and Treasury to coordinate with Japan efforts to reverse the yen's slide, weaken the dollar and make U.S. exports more competitive.

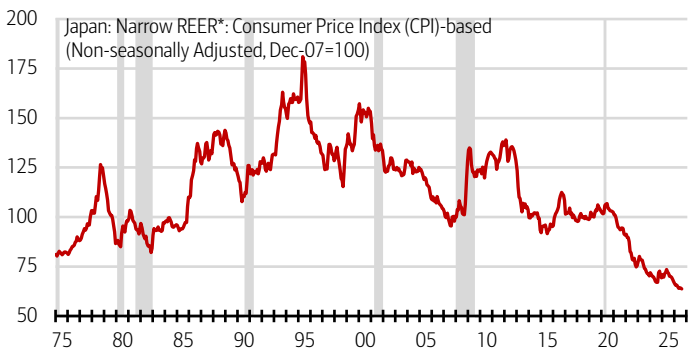
First, it's clear that long-term rates are normalizing more in line with higher nominal growth rates after the long period of secular stagnation and zero rates. The Artificial Intelligence boom has turbo-charged private sector demand for long-term credit, adding to the demand from fiscally strapped governments around the world. Long-term rates are market barometers of financial conditions. In the U.S., they are saying that real rates will be higher because of stronger growth and the increased demand for long-term credit. They are also saying inflation expectations remain well-anchored—consistent with the Fed's 2% target.

The increased pressure on long-term rates makes it relatively more attractive for the Treasury to finance its big deficit at the short end of the yield curve. Recent comments from the Treasury suggest long-term issuance might be cut at future refundings. Financing short-term borrowing at less than 4% rather than 5% at the long end is likely to grow. In essence, this is how Japan has reduced its primary deficit by borrowing massively at zero interest rates at the short end and spending to boost nominal GDP, which grows tax revenues faster and also allows the government to buy higher-yielding investments in Japan and all around the world. In the U.S., the faster nominal growth rate would also generate faster-growing tax revenues.

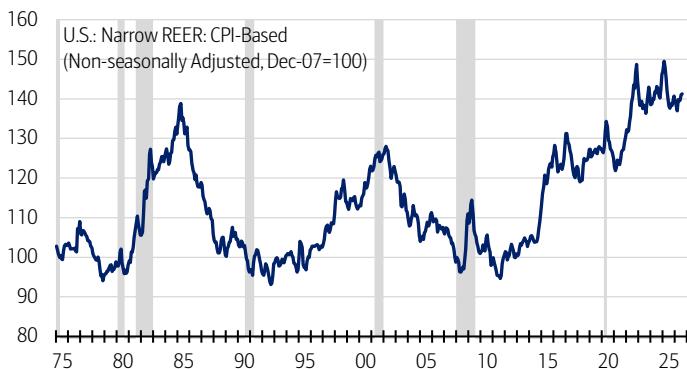
The new policy mix to strengthen the yen would work better if the policy rate differential determined by the BoJ and Fed narrows. Rate hikes in Japan should help accomplish that. Holding short rates in the U.S. steady rather than raising them would also support the yen and allow for cheaper Treasury deficit financing, assuming the new Fed reaction function addresses inflation through the balance sheet and money supply control. This helps explain why, despite higher long-term yields recently, short-term rates have been falling.

**Exhibit 1: Valuations Fundamentally Support Stronger Yen.**

A) Yen massively undervalued.



B) Dollar massively overvalued.



\*Real Effective Exchange Rate. Exhibit 1A) Sources: Bruegel; Haver Analytics. Data as of August 13, 2026. Exhibit 1B) Sources: Bruegel; Haver Analytics. Data as of August 13, 2026. Please refer to index definitions at the end of this report.

The Expanding Arctic Economy and What It Means for Investors

Ehiwario Efeyini, Director and Senior Investment Strategist

The ongoing Iran-U.S. war has once again highlighted the dependence of global supply chains on key geographical chokepoints. Since the start of the conflict, close to 75% of the roughly 20 million barrels per day of oil and over 90% of the roughly 10 billion cubic feet per day of liquefied natural gas (LNG) that previously passed through the Persian Gulf has been lost to regional disruption,<sup>1</sup> forcing importers to draw down their domestic inventories and diverting energy export volumes to alternative routes around the Arabian Peninsula.

But the contested waterways in the Middle East may yet contribute to a broader reconfiguration of global shipping patterns beyond export activity from the region itself. Further north along Russia’s Arctic coast, the Northern Sea Route (NSR) through the Northeast Passage in the Arctic Ocean is emerging as another viable transit channel for seaborne trade. The NSR connects Asia to Europe as an alternative shipping lane to the Suez Canal route through the Indian Ocean and the Red Sea. And, at over 8,000 kilometers shorter than the Suez route, it also reduces the total journey time between the two markets by up to 50%, or some two to three weeks. Until now, the NSR has primarily served as a corridor for Russian oil and gas bound for East Asia, particularly alongside increasing China/Russia cooperation. But earlier this month, China container shipping company Sea Legend Shipping launched its first regular service for goods trade via the route. The so-called China-Europe Arctic Express will consist of eight weekly 20-day voyages between mid-August and early October from Ningbo on China’s eastern coast to Felixstowe in the UK, with further connections at ports in the Netherlands, Germany and Poland. And it marks a major departure from the more intermittent crossings that the NSR has previously served.

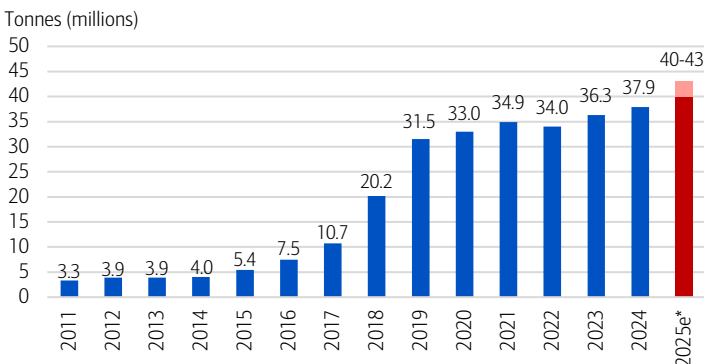
Cargo vessels typically require the assistance of icebreaker ships to traverse the Northeast Passage on a year-round basis. But climate change-induced melting of the Arctic sea ice is creating more viable conditions for ice-class commercial ships without the need for icebreakers during the summer months, reducing cost and transit time. Reflecting this increase in accessibility, a total of 167 new ice-class ships were built in 2025, according to maritime software firm Veson Nautical, the most in over a decade. And in 2024, close to 38 million tonnes of cargo were shipped through the NSR—the highest volume on record and a near-tenfold increase from a decade earlier (Exhibit 2A). These quantities should only increase further in the years ahead as seasonal access is extended (60% to 70% of annual cargo is currently transported between July and November), and as China sends more cargo vessels along the route.

Investment Implications

Growing economic activity in the Arctic region should be a source of support for global industrials and reinforces our constructive view on the sector. The need for greater capacity in ice-class vessels should boost demand for shipbuilding services and equipment. Engineering and construction demand should improve in response to a growing need for physical infrastructure along the Northern Sea Route. And geopolitical frictions between Russia and Arctic North Atlantic Treaty Organization (NATO) members should lift global defense spending.

Exhibit 2: Shipping Volumes Through The Northeast Passage Have Expanded; Russian Icebreaker Fleet Exceeds the Rest of the World Combined.

A) Cargo volume through the Northern Sea Route.



B) Global icebreaker fleet by country.

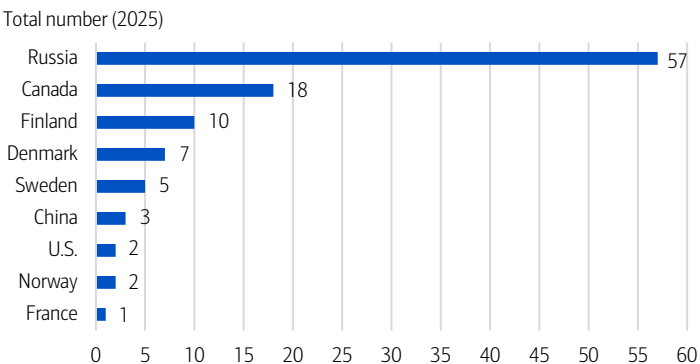


Exhibit 2A) \*e=estimate for 2025. Source Northern Sea Route Administration. Data as of 2025. Exhibit 2B) Source: Atlas Institute for International Affairs. Data as of 2025.

<sup>1</sup> As at the second quarter of 2026 (U.S. Energy Information Administration).

Russia has long dominated economic activity in the Arctic region since the U.S. presence declined at the end of the Cold War. It still has by far the largest number of icebreaker ships of any country in its fleet at 57—more than the rest of the world combined (Exhibit 2B). And given its administrative control of the NSR, Russia currently only allows its own icebreakers to guide vessels through the waterway. But the new China Sea Legend service is the culmination of more than a decade of China's closer engagement with the region since 2013, when it obtained observer status in the eight-member Arctic Council (consisting of Russia, Canada, Denmark, Finland, Iceland, Norway, Sweden and the U.S.). This has since led to greater China cooperation with a number of Arctic and near-Arctic countries across a range of projects, including the improvement of compatibility between Russia and China satellite navigation systems, the use of Estonia as a transit and logistics hub for China e-commerce with other countries in the region, and collaboration with Iceland to develop new geothermal energy infrastructure within a number of China cities.

Alongside economic cooperation and commercial goods trade, China's interest in the region also extends to natural resources. According to the U.S. Geological Survey, the Arctic holds an estimated 13% of untapped global oil reserves and 30% of untapped global natural gas reserves, in addition to critical metals used in battery storage, electronics and aerospace such as nickel, cobalt and titanium. Though these may be more costly to extract due to the greater logistical challenges of operating in the region, the economics of Arctic resource production should improve with rising polar temperatures, growing operational experience, and state-supported China investment. Energy and other industrial commodity exports from Russia currently dominate activity in the Northeast Passage. According to the Northern Sea Route Administration, trade in commodities accounted for close to 90% of the tonnage transiting the NSR in 2024—primarily LNG (47%), crude oil and petroleum products (23%), and dry bulk commodities such as coal and metal ores (18%). But China's involvement in Arctic resource projects is likely to increase over time, and the share of general container traffic between Europe and Asia should also rise with more participation from China commercial vessels.

For investors, growing economic activity in the Arctic region should be a source of support for global Industrials, and reinforces our constructive view on the sector. The need for greater capacity in ice-class vessels should boost demand for shipbuilding services, in addition to specialized shipping equipment and materials used in their manufacturing such as shrouded propellers, enhanced power systems and steel plating for hull reinforcement. In 2025, for example, the U.S. signed a \$6.1 billion deal with Finland (which designs the majority of icebreaker ships globally) to develop 11 new icebreakers, and China is also expanding its fleet. Engineering and construction demand should improve in response to a growing need for physical infrastructure (particularly in ports) along the NSR, which lags well behind that of more established shipping lanes. And China's deepening integration with the region, coupled with its closer ties to Russia, is also likely to increase geopolitical frictions in the Arctic. Among the eight Arctic nations, all but Russia are NATO members. And the region sits directly below the shortest intercontinental flight path between the U.S. mainland and Russia's strategically critical Kola Peninsula in its northwest. Russia also operates an estimated 30 to 40 military facilities along its Arctic coast. And though icebreaker ships are primarily deployed for research, trade, and search-and-rescue, their dual-use capability as naval escorts and in support of naval supply lines leaves Russia with a clear military advantage over the other seven Arctic Council members. This should lift global defense spending as NATO countries look to boost their own naval presence and surveillance capacity in the region.

## U.S. Debt Levels: It's Not All Bad News

Ariana Chiu, Assistant Vice President and Investment Strategist

It's official—Total U.S. government debt just surpassed \$40 trillion, having more than doubled in less than a decade. However, it's not all bad news. First, the number worth focusing on is debt held by the public which, at \$32 trillion, stands at roughly 100% of GDP, a manageable level in our view (Exhibit 3). Second, the U.S. consumer and corporate sectors are in healthy shape, positioning growth to counteract higher deficits.

Yes, given a trifecta of already-elevated debt levels, outsized budget deficits and higher interest rates, U.S. government debt is biased higher from here. Interest payments alone neared \$1.2 trillion in the first 10 months of this fiscal year, up 15% year-over-year.<sup>2</sup> Add large mandatory outlays, elevated defense spending as the war in Iran approaches its seventh month, and tariff refunds in excess of \$120 billion,<sup>2</sup> and the result is a budget deficit still running at 6% of GDP.

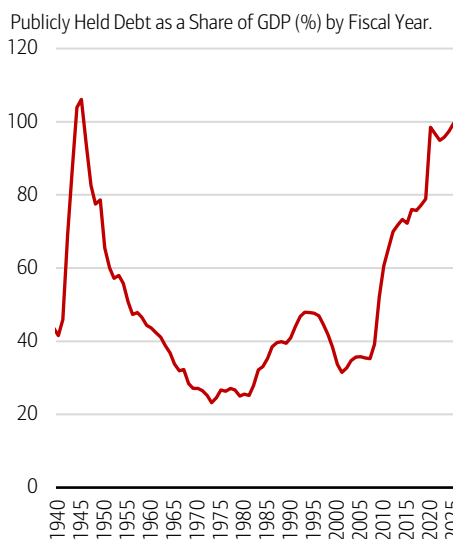
But don't forget about the denominator, i.e., growth. The first piece of good news is that the number one engine of growth, the consumer, remains historically healthy. In fact, for all the attention on elevated consumer debt in nominal terms, the reality is that U.S. consumers have deleveraged significantly since the GFC—so much so that the ratio of liabilities to assets hasn't been this low since 1963, according to Fed data (Exhibit 4A). Of course, a major boost has come from the coincident rise in asset values across equities and real estate. Together, Real Estate, liquid assets including Equities, and pension funds now make up nearly 85% of total household assets.<sup>3</sup> The second piece of good news: Corporates locked in debt at low rates during the pandemic era, translating to lower interest payments and more cash available for investment, buybacks, and more (Exhibit 4B).

Looking ahead, we continue to monitor debt across the consumer, corporates and the government. With U.S. households holding a near-record share of their assets in the equity market, the biggest risk to the consumer outside of an external shock would be a bear market that weighs heavily on higher-income spending. That's far from our base case. We think instead that growth and corporate profits can continue to prove resilient, enabling debt to remain manageable. In the meantime, we expect the government will continue to favor shorter-duration issuance. Critical to all of this will be ongoing demand for Treasuries which, contrary to concerns, should continue to be strong in our view.

### Investment Implications

U.S. consumers and corporates are healthy, providing fundamental support for our view that U.S. economic growth can remain strong. Resilient growth should keep U.S. debt manageable for now, and we continue to fade concerns of waning demand for U.S. Treasuries.

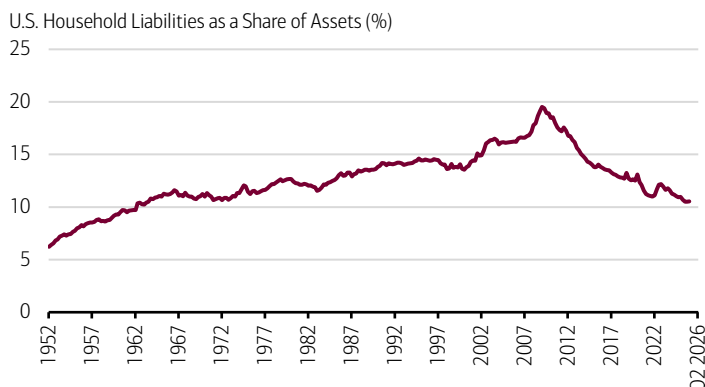
### Exhibit 3: U.S. Debt-to-GDP Stands At Approximately 100%



Sources: Office of Management and Budget; U.S. Treasury; Bureau of Economic Analysis. 2026 value refers to the latest debt figure from the U.S. Treasury divided by the Q2 GDP. Data as of August 20, 2026.

### Exhibit 4: The Good News: Consumer and Corporates are in Healthy Shape.

A) Consumer leverage at lowest since 1960s.



B) Corporates refinanced at lower rates during the pandemic.

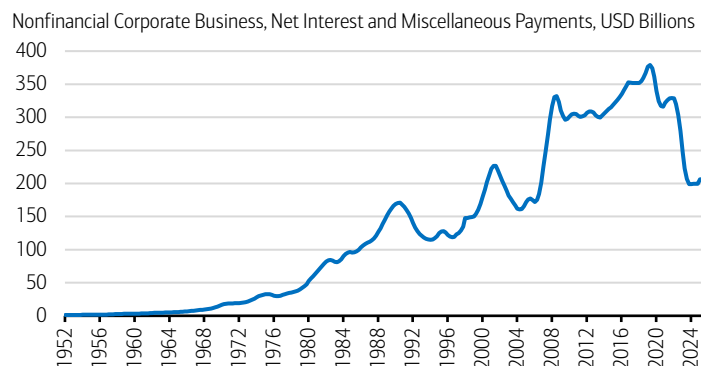


Exhibit 4A) Sources: Federal Reserve; Haver Analytics. Liabilities include consumer credit, home mortgages, and other liabilities including other bank loans. Assets include nonfinancial and financial assets. Data as of August 20, 2026. Exhibit 4B) Source: Federal Reserve. Data as of June 11, 2026.

<sup>2</sup> U.S. Treasury. Data as of August 20, 2026.

<sup>3</sup> Federal Reserve. Data as of June 11, 2026.

## MARKETS IN REVIEW

### Equities

| Equities              | Total Return in USD (%) |      |     |      |
|-----------------------|-------------------------|------|-----|------|
|                       | Current                 | WTD  | MTD | YTD  |
| DJIA                  | 53,277.01               | -0.8 | 1.6 | 12.0 |
| NASDAQ                | 26,180.46               | -2.0 | 3.2 | 13.1 |
| S&P 500               | 7,674.37                | -1.4 | 2.5 | 12.9 |
| S&P 400 Mid Cap       | 3,830.40                | -2.4 | 2.0 | 16.8 |
| Russell 2000          | 3,017.87                | -1.6 | 3.0 | 22.5 |
| MSCI World            | 4,969.82                | -1.2 | 2.6 | 13.1 |
| MSCI EAFE             | 3,243.62                | -0.5 | 2.3 | 14.1 |
| MSCI Emerging Markets | 1,721.89                | 1.2  | 3.5 | 24.2 |

### Fixed Income<sup>†</sup>

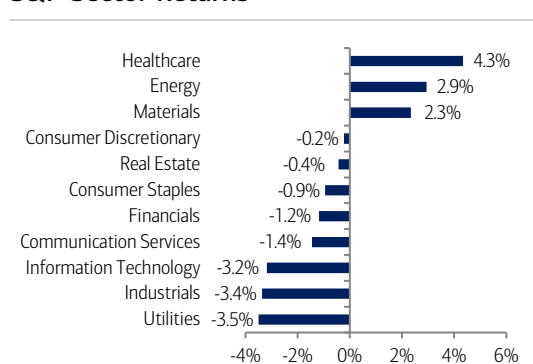
| Fixed Income                 | Total Return in USD (%) |       |      |       |
|------------------------------|-------------------------|-------|------|-------|
|                              | Current                 | WTD   | MTD  | YTD   |
| Corporate & Government       | 4.87                    | -0.11 | 0.28 | -0.53 |
| Agencies                     | 4.57                    | -0.10 | 0.29 | 0.54  |
| Municipals                   | 3.90                    | -0.58 | 0.22 | 0.65  |
| U.S. Investment-Grade Credit | 4.96                    | -0.10 | 0.35 | -0.34 |
| International                | 5.47                    | -0.15 | 0.21 | -0.62 |
| High Yield                   | 7.29                    | -0.15 | 0.73 | 2.44  |
| 90 Day Yield                 | 3.79                    | 3.78  | 3.75 | 3.63  |
| 2 Year Yield                 | 4.24                    | 4.17  | 4.29 | 3.47  |
| 10 Year Yield                | 4.73                    | 4.69  | 4.73 | 4.17  |
| 30 Year Yield                | 5.27                    | 5.26  | 5.27 | 4.84  |

### Commodities & Currencies

| Commodities                       | Total Return in USD (%) |     |      |      |
|-----------------------------------|-------------------------|-----|------|------|
|                                   | Current                 | WTD | MTD  | YTD  |
| Bloomberg Commodity               | 362.20                  | 3.8 | 6.6  | 31.1 |
| WTI Crude \$/Barrel <sup>††</sup> | 87.06                   | 5.7 | 2.8  | 51.6 |
| Gold Spot \$/Ounce <sup>††</sup>  | 4603.07                 | 5.2 | 13.8 | 6.6  |

| Currencies | Total Return in USD (%) |                |                 |               |
|------------|-------------------------|----------------|-----------------|---------------|
|            | Current                 | Prior Week End | Prior Month End | 2025 Year End |
| EUR/USD    | 1.17                    | 1.16           | 1.15            | 1.17          |
| USD/JPY    | 158.95                  | 159.32         | 157.40          | 156.71        |
| USD/CNH    | 6.72                    | 6.74           | 6.75            | 6.98          |

### S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 8/17/2026 to 8/21/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 8/21/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

### Economic Forecasts (as of 8/21/2026)

| Economic Forecasts                 | Q1 2026A | Q2 2026A | Q3 2026E | Q4 2026E | 2026E | 2027E |
|------------------------------------|----------|----------|----------|----------|-------|-------|
| Real global GDP (% y/y annualized) | -        | -        | -        | -        | 3.2   | 3.4   |
| Real U.S. GDP (% q/q annualized)   | 2.1      | 1.5      | 2.5      | 2.4      | 2.1   | 2.2   |
| CPI inflation (% y/y)              | 2.7      | 3.8      | 3.2      | 2.9      | 3.2   | 2.0   |
| Core CPI inflation (% y/y)         | 2.5      | 2.7      | 2.4      | 2.5      | 2.5   | 2.5   |
| Unemployment rate (%)              | 4.3      | 4.3      | 4.2      | 4.2      | 4.2   | 4.2   |
| Fed funds rate, end period (%)     | 3.63     | 3.63     | 3.88     | 4.38     | 4.38  | 4.38  |

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.** A = Actual. E/\* = Estimate. Data as of August 21, 2026.

Sources: BofA Global Research; GWIM ISC as of August 21, 2026.

### Asset Class Weightings (as of 8/4/2026)

| Asset Class                      | CIO View    |   |         |   |            |
|----------------------------------|-------------|---|---------|---|------------|
|                                  | Underweight |   | Neutral |   | Overweight |
| Global Equities                  | •           | • | •       | • | •          |
| U.S. Large-cap Growth            | •           | • | •       | • | •          |
| U.S. Large-cap Value             | •           | • | •       | • | •          |
| U.S. Small-cap Growth            | •           | • | •       | • | •          |
| U.S. Small-cap Value             | •           | • | •       | • | •          |
| International Developed          | •           | • | •       | • | •          |
| Emerging Markets                 | •           | • | •       | • | •          |
| Global Fixed Income              | •           | • | •       | • | •          |
| U.S. Governments                 | •           | • | •       | • | •          |
| U.S. Mortgages                   | •           | • | •       | • | •          |
| U.S. Corporates                  | •           | • | •       | • | •          |
| International Fixed Income       | •           | • | •       | • | •          |
| High Yield                       | •           | • | •       | • | •          |
| U.S. Investment-grade Tax Exempt | •           | • | •       | • | •          |
| U.S. High Yield Tax Exempt       | •           | • | •       | • | •          |

#### Alternative Investments\*

|                  |   |
|------------------|---|
| Hedge Strategies | • |
| Private Equity   | • |
| Private Credit   | • |
| Real Assets      | • |
| Cash             | • |

\* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of August 4, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

### CIO Equity Sector Views

| Sector                 | CIO View    |   |         |   |            |
|------------------------|-------------|---|---------|---|------------|
|                        | Underweight |   | Neutral |   | Overweight |
| Industrials            | •           | • | •       | • | •          |
| Consumer Discretionary | •           | • | •       | • | •          |
| Financials             | •           | • | •       | • | •          |
| Information Technology | •           | • | •       | • | •          |
| Energy                 | •           | • | •       | • | •          |
| Materials              | •           | • | •       | • | •          |
| Utilities              | •           | • | •       | • | •          |
| Healthcare             | •           | • | •       | • | •          |
| Communication Services | •           | • | •       | • | •          |
| Real Estate            | •           | • | •       | • | •          |
| Consumer Staples       | •           | • | •       | • | •          |

## Index Definitions

**Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.**

**S&P 500 Index** is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

**Consumer Price Index** is a key economic indicator that measures the average change over time in the prices paid by urban consumers for a market basket of consumer goods and services.

## Important Disclosures

**Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.**

Bank of America, Merrill, their affiliates and advisors do not provide legal, tax or accounting advice. Clients should consult their legal and/or tax advisors before making any financial decisions.

This material does not take into account a client's particular investment objectives, financial situations, or needs and is not intended as a recommendation, offer, or solicitation for the purchase or sale of any security or investment strategy. Merrill offers a broad range of brokerage, investment advisory and other services. There are important differences between brokerage and investment advisory services, including the type of advice and assistance provided, the fees charged, and the rights and obligations of the parties. It is important to understand the differences, particularly when determining which service or services to select. For more information about these services and their differences, speak with your Merrill financial advisor.

This information should not be construed as investment advice and is subject to change. It is provided for informational purposes only and is not intended to be either a specific offer by Bank of America, Merrill or any affiliate to sell or provide, or a specific invitation for a consumer to apply for, any particular retail financial product or service that may be available.

The Chief Investment Office ("CIO") provides thought leadership on wealth management, investment strategy and global markets; portfolio management solutions; due diligence; and solutions oversight and data analytics. CIO viewpoints are developed for Bank of America Private Bank, a division of Bank of America, N.A., ("Bank of America") and Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S" or "Merrill"), a registered broker-dealer, registered investment adviser and a wholly owned subsidiary of Bank of America Corporation ("BoFA Corp.").

The Global Wealth & Investment Management Investment Strategy Committee ("GWIM ISC") is responsible for developing and coordinating recommendations for short-term and long-term investment strategy and market views encompassing markets, economic indicators, asset classes and other market-related projections affecting GWIM.

BoFA Global Research is research produced by BoFA Securities, Inc. ("BoFAS") and/or one or more of its affiliates. BoFAS is a registered broker-dealer, Member SIPC and wholly owned subsidiary of Bank of America Corporation.

All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

**Alternative investments are speculative and involve a high degree of risk.**

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

© 2026 Bank of America Corporation. All rights reserved.